After 1991 economic reforms, India opened the door for foreign banks. They set up either branches or subsidiaries. Citibank, Barclays, and ABN Ambro are few foreign banks to be mentioned.

Indian Banks Abroad

Like foreign banks set up in India, Indian banks set up their branches or subsidiaries in foreign countries. Both public and private sector banks have branches abroad. Offshore banking units are located in Bahamas, Cayman Islands, Channel Islands and Mauritius. Offshore banks are banks located in a country that has more generous tax laws.

Classification of Banks

Banks are classified into scheduled and non-scheduled banks. All commercial banks, regional rural banks, and state cooperative banks are classified like this.

1. Scheduled Banks

Scheduled banks are those listed in the 2nd Schedule of RBI Act 1934. A bank to be included in this list has to fulfill the following two conditions:

i. The paid up capital and collected funds of bank should not be less than ₹5 lakh.

ii. Any activity of the bank will not adversely affect the interest of depositors.

Any bank which fulfilled these conditions and got listed in the second schedule if found violating these conditions would be de-scheduled. Scheduled bank enjoys the following facilities:

They are eligible for obtaining debts / loans on bank rate from RBI.

They get automatic membership of clearing house.